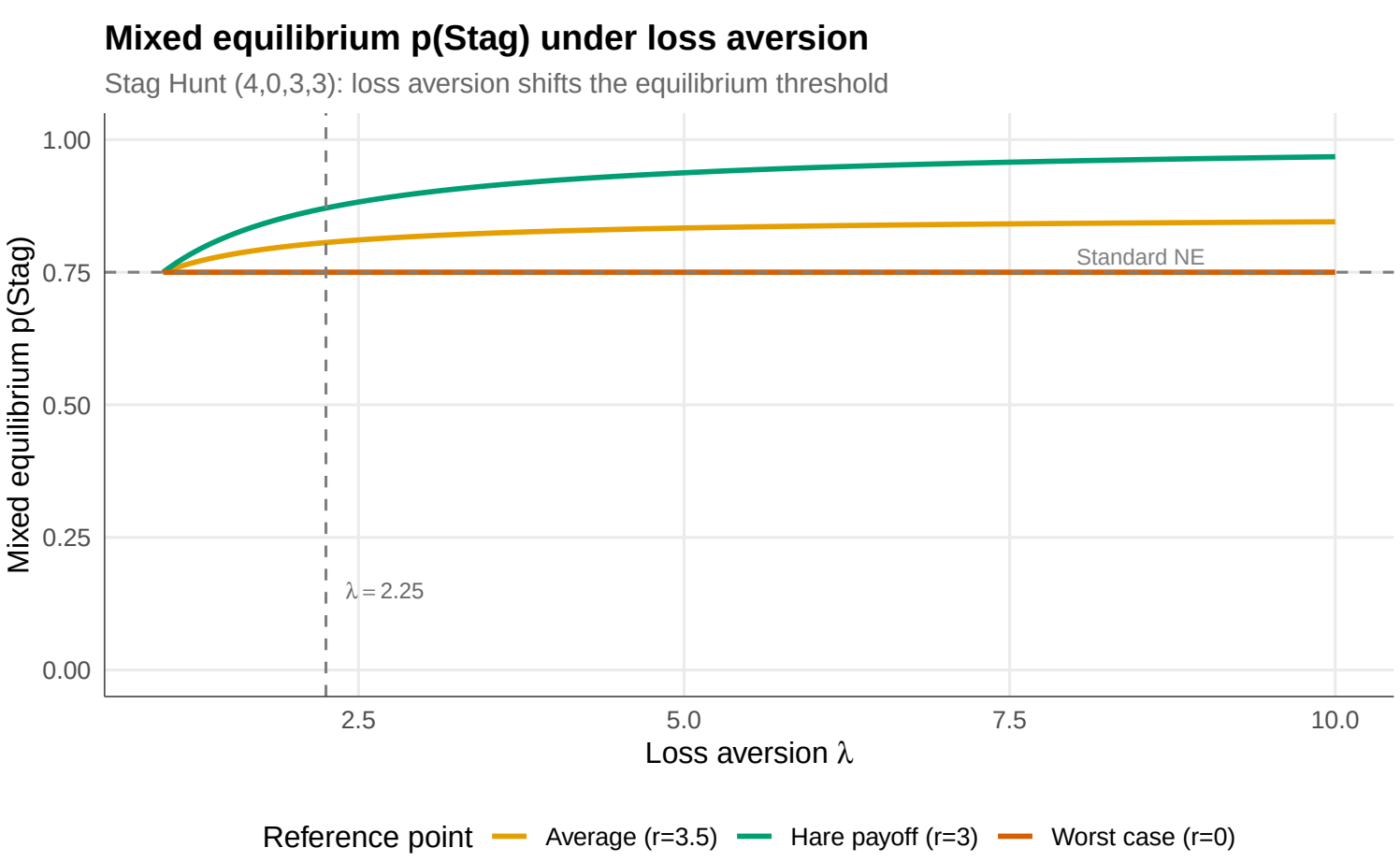
Mixed equilibrium p(Stag) under loss aversion
Stag Hunt (4,0,3,3): loss aversion shifts the equilibrium threshold
1.00
0.75
0.50
0.25
0.00
Mixed equilibrium p(Stag)
Standard NE
λ = 2.25
2.5
5.0
7.5
10.0
Loss aversion λ
Reference point
Average (r=3.5)
Hare payoff (r=3)
Worst case (r=0)